Mishcon de Reya LLP

The Things That Matter

Issue 6: September 2025

Editor's note

Welcome to *The Things That Matter*, keeping you up to date with the newest developments and insights in the constantly changing family office and private client sector. Learn more about The Things That Matter.

In this issue, we have explored a range of topics including the importance of reputational resilience for ultra-high-net-worth families to protect their legacy, how arbitration can…

Beyond wealth – the importance of reputational resilience

Posted on *23 September 2025*

For ultra-high-net-worth (UHNW) individuals and families, reputation is a cornerstone of success and stability. In today's fast-moving digital world, where news spreads instantly and scrutiny is constant, reputational resilience is no longer a luxury, it's a necessity for UHNWs, as much as wealth preservation and financial planning strategies.

The unique challenges facing UHNW families and family offices

UHNW families and their family offices operate under a unique set of pressures. The stakes are high, and the environment is often unpredictable. In today's world, some of the key challenges include:

- **Intense external scrutiny:** Investigative journalists, campaign groups, and regulatory bodies are more active than ever. Their focus on wealth, influence, and governance means UHNW individuals and families are frequently in the spotlight, be it in the "traditional" media or online news and information sources.
- **Digital risks:** Online misinformation and disinformation can spread rapidly and quickly escalate into a full-blown crisis. AI-generated information, digitally falsified documents, and deepfakes are increasingly being used to spread false narratives and/or impersonate.

- **Insider threats:** Risks can come from within as well as outside. Employees and close associates often have access to highly sensitive information, such as trade secrets, payroll data, and security details, and may be prompted to expose it if dissatisfied with a business's actions or policies.
- **Regulatory investigations:** Increasingly complex regulations and legal requirements mean that even inadvertent missteps can attract unwanted attention and scrutiny.
- **Risk of being de-banked:** Financial institutions are under growing pressure to manage risk and comply with stringent regulations. UHNW individuals may find themselves unexpectedly "de-banked" if perceived as high-risk or because of adverse press, which can disrupt operations and damage reputation among existing or potential business associates.
- **Complex family dynamics:** As families grow and diversify, anticipating sensitive issues becomes more difficult. Multi-generational families often have differing priorities and perspectives, which can complicate decision-making.

Unlike corporates, which in our experience (to varying extents and degrees of sophistication) tend to have crisis plans, risk registers and media handling protocols in place, families and family offices often do not. This can leave them exposed in times of transition or crisis. These challenges can feel overwhelming, especially when the family's reputation, and by extension, its legacy, is at risk.

Why reputational resilience matters

Reputation is hard-earned and easily lost. For UHNW families, reputational damage can have far-reaching consequences, affecting not only business interests and investments but also personal relationships, philanthropic initiatives, and succession planning. The family's reputation is a key part of its legacy, and any damage can undermine the stability and future prospects of both the family and its enterprises. Investing in reputational resilience is, in effect, investing in the family's future prosperity, both in the financial and non-financial sense.

Building resilience: Planning, communication, governance

Reputational resilience is not achieved by chance or just by having "thick skin", it requires deliberate planning, clear communication, and robust governance.

▶ Fail to prepare, or be prepared to fail
▶ Singing from the same hymn sheet
▶ Structure and execution

Our experience and how we can help

We have extensive experience advising high-profile UHNW individuals and families, before, during, and after reputational scrutiny and challenge. We understand the intricate dynamics involved. We have seen how crises can play out, and morph into larger reputational issues when preparation has been lacking. We help clients prepare, respond, and recover from planning and crisis management to communications and governance. We're here to help you focus on what truly matters. If you would like to discuss, please do get in touch.

More in this publication

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The long read: the country house market in H1 2025

Posted on *10 July 2025*

In summary

We have all heard similar comments from those in the English country house market this year: volumes are down; deals are taking longer; buyers are fussier; enquiries from US buyers are up. However, as those in the industry know, many deals happen off-market, and the disparity between certain pockets of the English countryside can be remarkable. We therefore asked some of the top country house agents for their views on the market in the first half of 2025.

When we came to process the answers, it became clear that this was more than a 400-word blog piece. Instead, we have taken a deeper dive into the agents' views and what is driving the market trends.

TLDR - the bigger picture: how have agents found the market year to date?

"*Like everyone, a challenge!*" says Lindsay Cuthill of Blue Book Agency. "*After over 30 years of selling and buying in the country, I have never known such a challenging marketplace*" says Mark Lawson of The Buying Solution. The bigger picture is a market of cautious buyers "*wanting perfection and seeking value*" (Philip Harvey, Property Vision). Appetite for the sprawling listed house in need of renovation has been dampened; fewer transactions are happening; non-doms are selling up; values are returning to pre-Covid levels – but best in class properties are holding up against the headwinds. Ben Horne, Middleton Advisors, sums it up: "*the emerging trend is price reductions and a real opportunity for buyers*".

Has the volume been turned down?

Agents agree that transaction volumes in 2025 are down across the board, with fewer buyers in the market and deals taking longer to agree. Many highlight a bottleneck caused by chains where would-be buyers are unable to proceed until their own properties are sold. "*A clear pattern emerging is that many buyers are tied up in sales that haven't yet been agreed. I have several potential clients who are ready to move forward - if only their own sales had some traction*" reports Dominick Brown of Prime Purchase.

Demand hasn't disappeared: there is still a pool of motivated buyers, especially for high-quality homes, but they are often more cautious and slower to commit – absent competition, at least. "*Transaction volumes and new enquiries are both down on last year, but not to a level that would be described as thoroughly depressing*", says Philip Harvey. Ben Horne reports that the year to date has been "*surprisingly buoyant in acquisition numbers, given an uncertain market*", but agrees that "*new enquiries have dipped lately, after a strong start to the year*". Jess Simpson of Stoneacre Advisors is frank: "*new enquiries have dropped by a third and confidence levels are low*".

Never has the phrase "*best in class*" been more relevant. Harry Gladwin of The Buying Solution, notes "*here's a noticeable flight to quality: buyers are more discerning, less willing to compromise, and very value-conscious, so anything that's compromised - whether on location, presentation or condition - is sticking.*". Jess Simpson notes "*there have been a large number of prime country houses (over £10 million) entering the market, both privately and publicly, more than previous years, some are selling well (those that are priced well and with few compromises), others are sticking. Overpricing is fatal. Best in class are selling, sometimes in competition*". Charlie Wells of Prime Purchase agrees: "*best in class, priced realistically, will still get some attention, but not in such fierce competition*".

Pricing: back to pre-pandemic levels but a mixed bag

Two clear themes emerge: a trend to lowering values, and vendors' expectations not always keeping track.

Pricing has shifted. Agents across the board report that pricing in 2025 is settling back to pre-pandemic norms, with many referencing a return to 2019 or early 2020 levels. Where properties need work – or simply don't meet the raised expectations of today's buyers – market opinion appears to be dropping significantly. Mark Lawson notes "*in many cases, property is overpriced by at least 30%*". Harry Gladwin agrees, noting "*it feels like the general prime market (from £2.5 million upwards for example, needs to be reduced by 15% or more in many cases to bring it in line with current expectations from buyers*".

The figures from the sell-side tally with a drop, if not as stark a one: "*prime country house prices are on average 6.2% lower than they were a year ago*", reports Phillippa Dalby-Welsh of Savills Country House department. But "*it's such a mixed bag*", notes Lindsay Cuthill, adding "*the last two sales agreed at guide, which some predicted were too strong*", whereas other sales were agreed at 10% off revised guide prices.

The buy-side are quick to flag vendor's expectations, and in some cases how they might be better managed. Mark Lawson points out that "*without brave agents recommending proper cuts, the stock levels will increase, and sellers will be disappointed*". Philip Harvey doesn't mince his words either: "*vendors are clueless about values and agents are 'valuing' by telling sellers what they think they want to hear, or by guessing at what they think their competitors may be saying*". But not all vendors are listening, it seems. Robert Fanshawe, also of Property Vision, reports that "*vendors are taking little notice when they are told that the general country house market over £3 million is probably trading at a 20% discount to what they might have expected in April 2022*".

A doer-upper, anyone?

If there's one thing buyers in 2025 don't want, it's a project. "*Renovation costs are having a huge effect on the market*", reports Charlie Wells. Appetite for renovation has collapsed – "*most buyers do not want a project because costs have increased so dramatically, as has the length of time it takes to complete projects and the complexity of the red tape*", explains Mark Lawson. Phillippa Dalby-Welsh agrees: "*buyers are much more focused on the condition of country houses and the likely ongoing costs of maintaining them*". "*Many want properties that are 'turnkey' or at least do not require major structural work, and they will pay a premium for something ready to move into*", says Harry Gladwin.

Planning is a key concern. "*International buyers find our archaic planning system (in particular conservation officers) and subjectivity very difficult to comprehend and this is off-putting, especially in a nervous market*", reports Jess Simpson. "*There are very few planning officers and projects are taking too long, and fees are still in the realms of the super-rich which are way too much for the vast majority of the market. That's why a slew* *of businesses in this environment will run into trouble in the next few months*", explains Robert Fanshawe. Charlie Wells has had similar experiences with clients: "*planning constraints are an issue given the time it takes for local councils to make any kind of decision. The planning system in the UK is broken!*". Will Langmead of Rural Property Search is more sanguine: "*with reduced resources, it is understandable that these government departments are struggling, and the impact on clients is significant, both financially and in terms of time".*

Several agents blame the continued effect of build cost inflation from Covid, as well as a shortage in the skilled labour needed for heritage property. "*Since build costs have increased so much and projects have over-run due to planning constraints and contractor/staffing/procurement issues, there is a great deal of caution*", explains Jess Simpson. "*Skilled trades are stretched, costs are high, and timelines are long*", notes Harry Gladwin. "*There is a noticeable uptick in clients saying that they don't want to buy listed houses, and all are fearful of high build costs*", adds Philip Harvey.

Another emerging trend is that buyers are increasingly focused on energy efficiency and sustainability. Period country houses still have huge appeal, but buyers want realistic plans for improving efficiency without undermining the character. "*Priorities have evolved*", explains Harry Gladwin. "*Best-in-class architecture, good proportions and privacy are still non-negotiable, but buyers are also far more sensitive to running costs, energy efficiency, and practical layout. People want the charm and character of a period country house, but they expect it to work like a modern home. Good insulation, decent energy efficiency, practical layouts and stylish interiors are no longer a nice-to-have, they are expected*".

International buyers: the flight of the non-dom and relative uptick from the US

Have the agents seen UHNWs leaving in response to the non-dom changes? "*100%*", says Charlie Wells, "*it's been quite shocking to see the number of people leaving, and the number just not even bothering to arrive, having planned to do so. Many, many searches being put on hold*". Mark Lawson has had a similar experience: "*we have also seen potential clients who were thinking of coming to the UK change their minds and not come!*".

Unlike in the London market where those individuals might choose to keep their London pad for now, rural properties appear to be more likely to be sold. "*Several sales in my area have come about solely to the rule changes*", explains Dominick Brown. The scale of movement has surprised even the most seasoned professionals. Ben Horne is "*very aware of a number of people who are relocating to Dubai, Portugal and Italy*". Philip Harvey explains that "*we set up Property Vision International three years ago to predominantly help clients find second homes overseas. However, recently most clients using the service are tax refugees*".

Phillippa Dalby-Welsh is quick to add nuance: "*inevitably there have been people who have relocated in response to the changes announced to non-dom tax rules. However,* *there are numerous cases of people who would have been relocating for other reasons anyway. Relocation does not seem as prevalent in the country as people may think*".

And international buyer numbers haven't fallen away entirely. "*We are seeing an increase in international buyers for the first time since Covid*", reports Jess Simpson, as "*the UK is still popular for its climate and schooling*". Lindsay Cuthill flags the balance: amidst the reports of leavers, he is "*surprised by the number of UHNWs looking to come here from overseas likely to make up for the number leaving*". Harry Gladwin reports that "*new enquiries have held up reasonably well, particularly from London-based families looking for a primary home with good schools and a sense of community, but also from international buyers who see the UK's political stability (in relative terms) as an anchor in uncertain global markets. There is a steady stream of international buyers, often European or American, who want a classic English country house as a lifestyle investment or bolt-hole, especially around the Cotswolds, Oxfordshire and the Home Counties. Dollar strength has supported this*".

And what about those American buyers? With the number of buyers down, it is hard to quantify whether there has been a real increase in US enquiries or simply a proportional increase relative to the overall enquiries. "*We have all heard about the influx of American buyers, this is actually rather more measured. They are focused on areas like The Cotswolds and have specific requirements such as high specification M&E as well as voluminous spaces*", explains Jess Simpson. US buyers benefit from advantages over and above the relative strength of the dollar: tax-efficient structuring opportunities are available to them (enquiries to Patrick Harney and Idina Glyn).

The drop in incoming buyers has consequences. "*The knock-on effect is vast*", reflects Mark Lawson, "*no agency fees to sellers and buyers, no SDLT take. Less work for lawyers, surveyors, builders and other advisers. No spend on new furniture, estate machinery etc. Less employment for gardeners, housekeepers, drivers, nannies, etc*".

Regional trends

Agents report that key drivers are access and schooling, and less so the scenic or peaceful drivers from the heady days of Q3 2020. Agents report sustained demand in the South East, where proximity to London, strong transport links, and established infrastructure remain attractive. Counties such as Kent, Sussex, Oxfordshire, and the Cotswolds more generally continue to attract the bulk of interest, particularly from domestic buyers prioritising hybrid working and education. "*The most motivated buyers are with a school focus or in a chain*", notes Lindsay Cuthill. However, despite the sharp spike in properties coming to the market, there is still a chronic lack of high-quality stock.

Buyers are targeting well-connected villages and market towns, with a clear preference for areas that offer both lifestyle and logistical ease – especially within striking distance of rail links or major roads. "*Clients are becoming more sensitive to travel times, which dropped down the list of priorities for a period*", explains Will Langmead. Charlie Wells notes that many buyers are "*looking for a school, an easy commute and attractive countryside at the*

£2.5-£5 million level", and that although there are "*some good big country house buyers out there*", they "*want to be within two hours of the capital and a good airport*".

Given the connectivity, it is perhaps not a surprise that there has been "*a very good run in the Cotswolds*", according to Ben Horne. Harry Gladwin agrees: "*the Cotswolds remains a firm favourite, especially villages with a sense of community but still accessible from London. Oxfordshire, parts of Buckinghamshire and the better-connected parts of Wiltshire and Hampshire are also in demand. I am seeing more buyers widen their search to villages just off the prime headline spots, looking for better value but still within the right catchment and social scene*".

The forecast for H2: low pressure and overcast, with potential for sunny spells later in the year?

For now, it's a market in watch-and-wait mode. "*I expect the country house market to remain quite divided. Well-presented, best-in-class houses in prime spots should continue to find committed buyers and hold value, but compromised or overpriced properties are likely to stick*", predicts Harry Gladwin.

Most agents predict more of the same in the run-up to the Autumn Budget. Will Langmead isn't optimistic but flags the opportunity for buyers: "*my expectation is to see further stagnation in the market with Autumn looming. Most consumers elect to do nothing in times of uncertainty, and I think this will also hold true in the country house market. The knock-on effect will be greater polarisation, and properties that are not best-in-class are likely to come under pressure if they need to sell in the short term. This could provide some interesting opportunities for clients who are prepared to commit in times of uncertainty".*

"*It will continue to be a very selective and slow market, with transactions taking longer*", predicts Charlie Wells. Several buying agents are quick to flag pricing. "*We could have a busy market if sellers become more realistic with their prices*", comments Mark Lawson, "*the concern is that there could be another delay as we head towards the Autumn Budget and the threat of yet more tax rises or, worse, some form of wealth tax*".

But there is some positivity around the Autumn. "*Sellers' price expectations will undoubtedly reduce, creating a buyers' market in the Autumn*", forecasts Jess Simpson. But timing is unclear, with Philip Harvey predicting that "*unlike most years when there is very little activity outside of peak spring and autumn markets, deals this year will happen as and when buyers see opportunities".*

Setting aside the "*pristine properties without compromise which will still command a premium*", Lindsay Cuthill is blunt: "*if we get the price right then we can sell and so the prediction must be around a gentle repositioning of the market*". But it will remain driven by off-market deals, expects Ben Horne: "*much of the activity has happened well below the radar, which denies the market of confidence. So, this pattern is likely to continue into Autumn, with supply on the open market being limited to those who need to sell".*

It's not all about price though, notes Phillippa Dalby-Welsh: "*The potential for the government to introduce more tax measures will undoubtedly be on buyers' minds, however they will be balancing this against being faced with the greatest amount of choice they have had for several years. There will be opportunities both for those who wish to buy and for those who wish to sell if they are strategic. That said… for some houses it is about finding exactly the right buyer, and reducing the price may not be the catalyst to success that everyone assumes*".

There is some hope: if the Chancellor keeps a steady hand at the tiller and resists the further tax rises, the market may settle back to business as usual. "*With interest rates now more stable and inflation showing signs of settling, confidence is slowly rebuilding. I expect some discretionary buyers who sat on their hands last year to re-enter the market as they feel conditions have become clearer and borrowing costs more predictable*", hopes Harry Gladwin.

And fundamentally, as Will Langmead notes, "*we are blessed with some outstanding architecture, and there will always be wealthy individuals who want to be custodians of these fabulous assets*".

And finally… where would the experts buy, money no object?

It's a mix between wanting access to the capital and wanting to hide from it. "*If I needed to gain access to the capital I would buy in Hampshire, Wiltshire or The Cotswolds. Obviously, the rural parts of the north of England and Scotland have enormous appeal. The idea of wilderness and seeing less of the urban population greatly appeals*", laughs Charlie Wells. Robert Fanshawe favours Shropshire: "*fewer people, good transport links, and consistently good value*". Mark Lawson is similarly minded: "*as far away from the madness as possible. Probably on the coast, overlooking the sea in Devon or Cornwall*". Philippa Dalby-Welsh votes for the South West coast too: "*there are some amazing buying opportunities currently… and I love to be by the beach and sea*".

Jess Simpson and Ben Horne also vote for Hampshire. Jess readily justifies this: "*it's an unspoilt and beautiful county with rolling downland, the best fishing in the country and only two hours from London. The architecture is refined with high ceilings and stone or brick vernacular and the city of Winchester has much to offer, whilst villages such as Stockbridge and Alresford have lots of independent shops and restaurants*". Ben Horne is on the same page: "*on the River Test in Hampshire, a stunning chalk stream with Stockbridge and Winchester nearby, decent trains to London and A303 access to the South West*".

Harry Gladwin unsurprisingly votes for the North Cotswolds, probably around Snowshill, for reasons that are too long to quote in full, but revolve around picture-perfect villages, privacy, community and culture, architecture and transport links. Lindsay Cuthill votes for South Gloucestershire, "*two hours from London, with beautiful unspoilt countryside and an appreciation of living in the country means we don't complain about church bells and tractors!*".

There's a strong Sussex contingent too. "*I live at the foot of the South Downs in West Sussex and can think of no better place to be*", says Philip Harvey, but to find a home for someone with an unlimited budget, "*I would probably have to go to the Chalke Valley between Salisbury and Shaftesbury which has a similarly beautiful landscape, truly rural feel, and still reasonably accessible*". Dominick Brown would stick to Sussex: *"it still feels relatively untouched and offers excellent access to London*", and Will Langmead agrees, choosing "*somewhere along the South Downs Way, giving you interesting topography, great towns and villages with the coast and London in easy reach*".

A vote of thanks

We would like to thank the agents who participated in this article and emphasise that any views expressed are their own (though the author also favours East Sussex or somewhere on the River Test). Andrew Williamson notes that "*to steer through these headwinds you need an experienced legal team in sunshine and rain*" and, alongside the agents in this article, we would be delighted to assist anyone looking to move in the country house market.

With thanks to: Dominick Brown, Charlie Wells, Mark Lawson, Jess Simpson, Harry Gladwin, Ben Horne, Robert Fanshawe, Philip Harvey, Will Langmead, Lindsay Cuthill and Phillippa Dalby-Welsh.

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The will for change

Posted on *14 July 2025*

The main rules that govern wills date back to the Victorian era: the Wills Act 1837 and the "golden rule" to assess testamentary capacity from the case of *Banks v Goodfellow* in 1870. At the time the Wills Act was introduced, married women were not entitled to retain their own wages for themselves nor inherit money. These rights were only granted in 1870 under the Married Women's Property Act. Despite their vintage, and the significant shift in both law and attitudes since the Wills Act, these rules have largely stood the test of time.

However, fundamental societal changes have continued to take place, and it is in light of these that the Law Commission has undertaken its Modernising Wills Law project. The Law Commission's report (the Report) was published on 15 May 2025 and includes 31 recommendations to ensure that the law of wills remains fit for purpose. The project aimed to achieve three key objectives: (i) to support testamentary freedom; (ii) to protect testators from undue influence and fraud; and (iii) to enhance clarity and certainty in the law.

The recommendations look at all aspects of wills law and take account of 21st century living. We do not intend to break down each recommendation, instead we propose to focus on three specific areas and explore their potential impact.

Throughout, we bear in mind that the Report is being reviewed by the Government with no set date at this stage for a response. The recommendations may not come into force and, in the meantime, we continue to operate within the current legislation and rules applied by case law.

Law Commission recommendation: one test for capacity

The *Banks v Goodfellow* test for testamentary capacity requires the testator, at the time the will is made, to:

- understand the nature of the act of making a will and the effect of doing so;
- understand the extent of their property;
- consider the claims of potential beneficiaries; and
- not have a disorder affecting their decisions.

The test is entrenched in the law of wills and provides the framework within which people can confirm whether a testator has validly made a will.

The Mental Capacity Act 2005 (the MCA) came into force in 2007 and was introduced to ensure that people who cannot make decisions for themselves are protected. In the 13th century it was the role of the ruling king or queen to make decisions for people who could not do so for themselves. Before the MCA, there were no clear laws for people who lacked the ability to make decisions for themselves. The MCA provides a statutory framework for assessing mental capacity in various contexts, including making a will. The MCA introduces a more structured approach:

- Every adult is presumed to have capacity unless proven otherwise.
- Individuals should be given all practicable support to make decisions.
- Making an unwise decision does not equate to lack of capacity.

A two-stage test was introduced:

- Diagnostic: is there an impairment, or disturbance in, the functioning of the mind or brain?
- Functional: does the impairment mean the person is unable to understand, retain, use or weigh information relevant to the decision, or communicate the decision?

In the law of wills it is important for both tests to be adopted such that someone must meet the *Banks v Goodfellow* test in order to make a will as well as the requirements of the MCA.

At present there are in effect two tests for capacity to make a will. In contentious probate cases, the (arguably stricter) *Banks v Goodfellow* test is applied, but when applying to the Court of Protection to make a statutory will, the Court will look to the test under the MCA. The Law Commission has proposed that the current tests be replaced by a single test, based on the MCA requirements, which would mean applying the two-stage diagnostic and functional test from the MCA to all will-making situations. The proposed changes to the capacity tests for will-making remain arguably unclear. While there is logic in establishing the proposed single MCA test for both testators making a will and statutory wills with an assumption of capacity as the starting point, the proposed accompanying Code of Practice intends to refer to the test in *Banks v Goodfellow* and relevant case law. In the 2023 case of *Baker v Hewston*[1] HHJ Tindal, referencing the Law Commission consultation, noted that while the *Banks* and MCA tests are not identical, they are broadly consistent. It would seem however that there remains significant potential for dispute, particularly in retrospective assessments post-death. Different outcomes under the varying tests could undermine the clarity the proposed changes aim to achieve.

Law Commission recommendation: disincentivise predatory marriage

A further area of focus relates to the current rule that a testator's will is automatically revoked when they get married or form a civil partnership. The Report recommends that this automatic revocation should be abolished. At present under the Wills Act 1837, a testator's will is automatically revoked on marriage. In 1837, this may well have made good sense in protecting spouses who, if no new will is made after the marriage, would take first under any intestacy. However, in the modern era, this has been argued by some to be an overly paternalistic and anachronistic rule and one which opens the door to predatory marriage. Predatory marriage involves a usually older, more vulnerable party being targeted by someone largely driven by the prospect of financial gain. The marriage is frequently entered into on the basis of the new spouse intending to take advantage of the vulnerability (and sometimes incapacity) of the other party during their lifetime, as well as inheriting upon their death. We have explored the issues concerning predatory marriage previously in an episode of the Mishcon Academy Digital Sessions podcast and in an article for the Law Society [https://communities.lawsociety.org.uk/february-2022/versus-predator/6002201.article] .

One of the reasons the Law Commission seeks to abolish the rule that marriage revokes a will is to "remove any incentive" for anyone to contemplate it. The proposed abolition of this rule aligns with the first objective of the project, namely, to protect a testator from undue influence or fraud, and serves to target potential exploitation.

An issue that will arise from the abolition of this rule could be that people miss out on inheritance tax (**IHT**) exemptions. An estate, broadly, will be subject to IHT if it exceeds £325,000. Any assets passing to a surviving spouse or civil partner will be free of IHT due to the 100% spousal exemption. Typical estate planning implemented in a will provides that the surviving spouse receives the estate on the first death, ensuring that the survivor has funds on which to live as well as making use of the IHT spousal exemption. If the deceased had made a will before they were married giving, say, their estate to their siblings, but did not update their will following their marriage, it will not be possible to apply the spouse exemption unless a successful claim to secure a benefit for the survivor is brought (which we will explore further below). Under the current rules, the marriage would have revoked the will and the deceased's estate would have passed under the intestacy rules to the survivor (a significant proportion of which would pass to the new spouse/civil partner). The new rules will mean that any pre-existing will stands, whether that benefits the new spouse/civil partner or not.

For more information on the intestacy rules please see our earlier article [https://www.mishcon.com/news/liam-paynes-estate-the-implications-of-dying-intestate] .

The proposed changes are a welcome step towards protecting vulnerable individuals from financial abuse, though they are unlikely to completely resolve family disputes. Under the Inheritance (Provision for Family and Dependants) Act 1975, a spouse or civil partner who believes they have not received reasonable financial provision from an estate, whether under a will or intestacy, can bring a claim for provision from the estate. Notably, for spouses or civil partners, such claims are not limited to maintenance. The court considers several factors under section 3 of the Act, including the claimant's needs and resources, the size of the estate, and any other relevant matters, such as conduct. Importantly, the court's jurisdiction to hear these claims cannot be ousted. In cases involving spouses or civil partners, the "divorce fiction" applies, meaning the court considers what the financial position would be if the marriage had ended in divorce rather than death, making the length of the marriage a relevant factor. Whether a claimant receives a substantial award depends heavily on the case's specifics, but the risk of litigation persists.

It is crucial to note that under current law, if a deceased person had a will leaving everything to their adult children, and that will was revoked upon a subsequent marriage, the children would face significant challenges in securing an award under the 1975 Act, as claims are limited to maintenance needs. Despite 42% of surveyed Law Society members disagreeing with changing the law, we view this as a positive step towards protecting vulnerable testators and supporting testamentary freedom.

The Law Commission was candid in acknowledging that changing the law in respect of wills will not of itself prevent predatory marriage. A party seeking to exercise financial abuse towards a more vulnerable partner or spouse may continue to do so during their lifetime and, if the marriage does not revoke a will, they will still be in a preferential position when making any application under the Inheritance (Provision for Family and Dependants) Act 1975. The Law Commission did not agree with proposals made by some respondents to the consultation that the test for a party having capacity to marry should be made more stringent, noting that to do so would potentially operate as an unfair, unnecessary and discriminatory bar against the disabled, given that the mere fact that a person has been diagnosed with dementia, or has any other mental impairment, does not necessarily mean that they lack capacity to marry or form a civil partnership. However, a change in the law reducing the benefits of predatory marriage will be welcomed by those who have campaigned to bring an end to this practice.

Law Commission recommendation: empowering children

The proposal in this regard, in line with the objective of supporting testamentary freedom, is to enable will-making for 16 year olds (the current age threshold being 18) and therefore to align with the law on mental capacity (as the MCA governs capacity for those aged 16 and over). There is also a potential opportunity for those under the age of 16 to make a will, with the authority of the court.

When dealing with a 16-year-old suffering from a degenerative disease or terminal illness, there may be compelling reasons for them to avoid the intestacy rules or to have control over how their funeral is conducted. Such individuals might have received a compensation payment or possess other assets, and could be estranged from or have no relationship with a parent who might otherwise inherit under intestacy rules. They may wish to direct their assets elsewhere, likely to other family members or causes that they feel strongly about. Additionally, some 16-year-olds may have accumulated significant wealth through social media platforms, esports, or as influencers, and could benefit from having a will as part of their financial management strategy.

However, at present, the law does not give those under 18 the same property rights as adults. A child cannot currently hold the legal (as opposed to the beneficial) interest in land. Likewise, the law in respect of a child entering into a contract is more protective than that in respect of adults, with children able to cancel certain contracts at any time before they reach their majority (i.e. the age of 18). On the other hand, per section 8 of the Family Law Reform Act 1969, a child over the age of 16 can consent to medical treatment as of right. The Law Commission acknowledged the differing treatment of those under 18, but considered decisions about property and the disposal of one’s body are more akin to medical and social welfare decisions than those about property. Given that the MCA applies to those over the age of 16, and the Law Commission's recommendation that testamentary capacity align with the test for capacity under the MCA 2005, they considered it appropriate that those who are 16 and over should be able to create a valid will.

There are, however, some concerns about this approach. The majority of those who are 16 – 18 still live with at least one parent. While the Law Commission proposes to reform the law on undue influence, making it easier to have a will set aside on the basis of undue influence, children often remain dependent on their parents in a way that is almost unique amongst family relationships. The potential for a child to feel pressured (even if that pressure does not reach the threshold of undue influence) to make a will in favour of a parent, or to exclude a parent who is not living with them, may be considerable. It also potentially raises the unedifying spectre of separated parents "competing" for greater financial provision from a wealthy child.

At present, under the Children Act 1989, an aspect of parental responsibility is the duty to administer a child's property for the benefit of the child. Parental responsibility lasts until the child is 18. Should a child aged 16 or 17 make an otherwise valid will, but one that is considered not to be in their "best interests", a parent with parental responsibility could potentially make an application to the court for a specific issue order to allow a settlement to be made of the child's property, if doing so would be in the child's best interests. This could potentially lead to a court overriding the child's intentions regarding their own property, should those be considered not to be in their best interests – a restriction that adult testators do not face.

The Report further recommends that the Family Court should have power to authorise children under 16 to make a will, provided they are assessed as being *Gillick* competent by the Family Court. The concept of *Gillick* competency relates to the ability of a child to make decisions (originally as to medical treatment) if "of sufficient discretion to enable him or her to exercise a wise choice in his or her own interests[2]", which in practice tends to amount to them being sufficiently capable of understanding the decision, the implications of the decision, the risks associated with the decision, the alternatives, and of expressing their own wishes. The child's maturity is an important factor in assessing whether they are *Gillick* competent. The Law Commission was of the view that, in the context of the child being judged competent to make a will, the substance of what the child will need to be able to understand will align with the test for testamentary capacity. While the intentions of this recommendation are to enable children who are of sufficient maturity, and who e.g. have been diagnosed with a terminal illness, to also create a will, the success of such provision will rely on widespread knowledge among young people (and those with responsibility for them) that such an option is available. We believe, in practice, this provision will have limited scope.

The proposals do raise grounds for concern. Will writers will need to carefully manage their relationships with younger clients, taking into account safeguarding best practice in addition to understanding the rules of the MCA, and how they operate with children in order to achieve the young person's objectives. Any adviser would need to satisfy themselves that a child under 18 has the requisite capacity to instruct a solicitor, enter into a retainer and then to provide clear instructions, free from potential undue influence, for a will (applying the new test for capacity under the MCA). A potentially onerous task and one, in itself, which could risk conflict from excluded family members, at least in cases where the court is not approving the contents of that will.

Conclusions

As the government is yet to comment substantively on the Report, people will need to work within the confines of the Victorian rules when preparing their wills for the time being. However, it is highly likely that at least some of the recommendations will be adopted, and we await future consultations on the proposals

[1] Baker v Hewston [2023] EWHC 1145 (Ch) [https://www.bailii.org/ew/cases/EWHC/Ch/2023/1145.html]

[2] Gillick v West Norfolk and Wisbech Health Authority [1986] AC 112 [https://www.bailii.org/cgi-bin/format.cgi?doc=/uk/cases/UKHL/1985/7.html&query=(Gillick)]

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Arbitration – a suitable means of resolving family business disputes?

Posted on *23 September 2025*

The personal nature of a family business means that when a dispute arises, it requires a bespoke and tailored approach to resolving it. Navigating the family dynamics at play while managing the day-to-day operations of the business requires careful balancing and discretion. Whereas in arm's-length commercial disputes, parties may be happy to go their separate ways and deal with their disagreements in public, parties to a family business dispute are, usually, keen to find ways to resolve the dispute together with repairing or maintaining amicable relations between family members and, if possible, doing so more privately.

Court proceedings are sometimes the most appropriate means of determining a family business dispute, but the discretion and relative flexibility of arbitration can make it an ideal forum for resolving such disputes.

Keeping things private

Unlike court proceedings (which are usually accessible to the public), arbitration is essentially a private process in which the subject-matter, hearings and outcome of proceedings remain confidential to the parties involved.

For disputes involving families who run large, successful businesses or have significant commercial investments, often the most important issue is achieving a resolution in a private setting, including because of:

- Protection of confidential information: Family business disputes inevitably involve sensitive personal and financial information. Keeping these details private helps protect individuals and corporations from unwanted public scrutiny.
- Family relationships: Avoiding a public airing of grievances and personal issues can help preserve or repair family relationships.
- Reputation management: Confidentiality protections ensure that potentially damaging information or false allegations do not become public, helping to protect any public image as well as the reputation of the businesses in which individuals are invested.
- Business interests: Ensuring confidentiality helps mitigate the risk of any negative effect on business operations or share prices and can minimise the effect of a dispute on the day-to-day commercial operation of the business in question.

A speedier outcome

It is possible for arbitration to result in a quicker resolution as compared to court proceedings. This can be particularly important for family businesses given the need to keep the business operating as usual. Avoiding protracted litigation, and the associated impact on both the business and family relationships, allows the family to move on with their lives.

Flexibility and control

Parties to arbitration have more control over the process than with more rigid court procedures and generally have more of a say over how the proceedings are run.

This includes having input into the selection of the arbitral tribunal, allowing parties to nominate arbitrators who might have a particular understanding of the sector in which the family business operates or familiarity with family businesses generally.

The same remedies?

Before embarking on any form of dispute resolution (and ideally when setting up corporate structures), it is critical that parties consider what their desired outcomes are and whether the remedies necessary for achieving those outcomes are available and enforceable. Many of the remedies available in litigation are also available in arbitration. However, there are some exceptions to be aware of.

In the context of family business disputes, what families want to achieve is often not simply a monetary outcome. A resolution may need to account for who will remain shareholder(s) in the business, how to deal with any exiting shareholder(s) or directors and whether there is an agreement for the succession of the business which should be honoured. These outcomes may engage the remedies relating to unfair prejudice or specific performance:

- Unfair prejudice
- Specific performance

The right forum?

While arbitration will not always be the most appropriate or cost-effective means of resolving family business disputes, and is not therefore a panacea, it is still likely to prove attractive for many family businesses faced with the alternative of airing their disputes in a more public court setting.

The ability to resolve disputes quickly, confidentially and out of the public domain can generally be a positive decision both for family companies that are in dispute and the familial relationships that are strained as a result.

This article is adapted from "Business disputes in a family office and high net worth context", first published in "The Guide to High-Net-Worth Clients and Arbitration". If you are interested in finding out more about arbitrations in the context of family business disputes, read the full article [https://globalarbitrationreview.com/guide/the-guide-high-net-worth-clients-and-arbitration/first-edition/article/business-disputes-in-family-office-and-high-net-worth-context].

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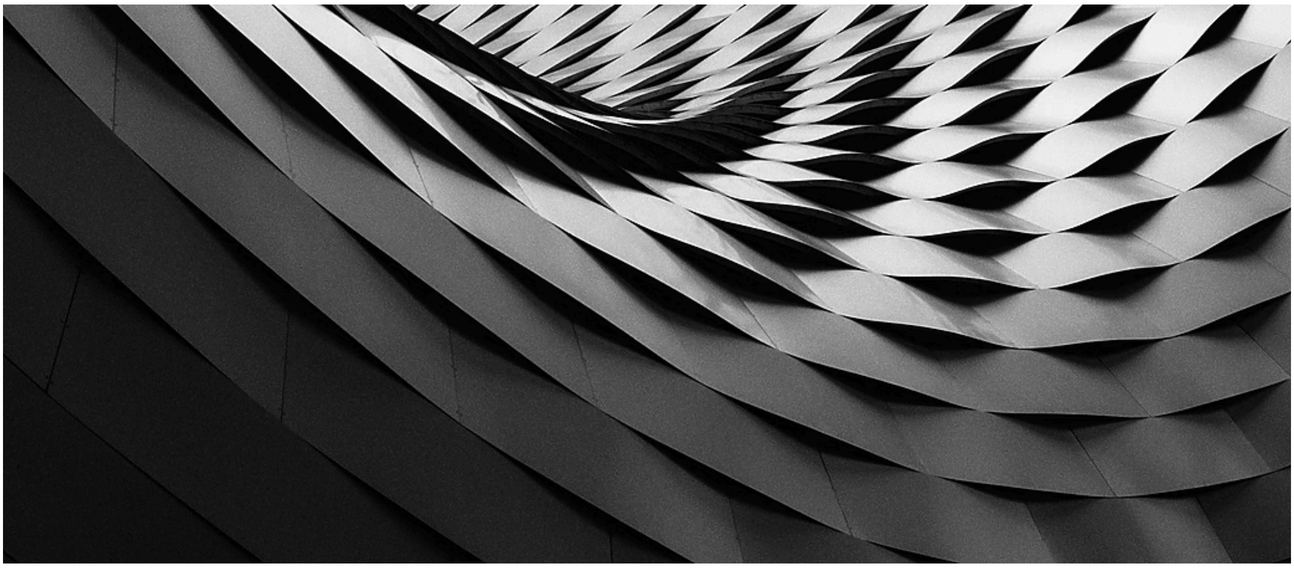
Failure to prevent fraud

Posted on *23 September 2025*



The introduction of the new "failure to prevent fraud offence" marks a shift in how large organisations (those which fulfil at least two of the relevant criteria below) are held accountable for economic crime.

As of 1 September 2025, large organisations must have robust fraud prevention procedures in place, or risk facing prosecution.

According to the UK Government Guidance published in November 2024, the failure to prevent fraud offence *"is intended to encourage organisations to build an anti-fraud culture, in the same way that failure to prevent bribery legislation has helped reshape corporate culture since its introduction in 2010".*

While much of the commentary has focused on the corporate compliance of large organisations, private clients - particularly those with complex financial interests, who own or control businesses which meet the criteria, are part of a corporate group company structure, including multi-national, or hold positions as directors or shareholders - should take note.

What is the "failure to prevent fraud" offence?

Introduced under the Economic Crime and Corporate Transparency Act 2023, the new offence is designed to hold large organisations to account if they fail to prevent fraud committed by an associated person for their benefit.

Under the Act an organisation will commit the offence where:

- a person who is associated with the organisation commits a specified fraud offence intending to benefit (whether directly or indirectly) the organisation and the organisation did not have reasonable fraud prevention procedures in place.

Critically, directors, officers and/or senior management do not need to know about the fraud for the organisation to be held liable. Organisations found liable of the failure to prevent fraud offence can be subject to an unlimited fine.

The offence applies to "large organisations", which is one that meets two of the following criteria:

- More than 250 employees
- More than £36 million turnover
- More than £18 million in total assets

The fraud must be carried out by "an associated person", which includes employees, agents, or a subsidiary of the organisation, with the intention to benefit the organisation or its clients. An organisation does not need to actually receive any benefit for the offence to apply, nor does the benefit in question need to be financial.

Is there a defence?

An organisation will have a defence if it has reasonable fraud prevention procedures in place. What is meant by reasonable will depend on the size, sector and risk profile of the organisation.

The UK Government guidance outlined six principles that should inform an organisation's fraud prevention framework:

- Top level commitment from the senior management;
- Risk assessment policies and processes;
- Proportionate risk-based prevention procedures;
- Due diligence;
- Communication (including training); and
- Monitoring and review.

What should private clients do now?

Private clients should take proactive steps in response to the new failure to prevent fraud offence. This includes engaging advisers at an early stage, notably legal counsel and compliance professionals and, where appropriate, reputational management experts. Early engagement is essential, not only for understanding the direct risks but also for assessing wider exposure through associated individuals, companies or trusts.

Clients should undertake a thorough review of their existing structures to determine whether any organisations they own, control, manage or benefit from fall within the scope of the legislation. If a client establishes that their existing structures are caught, they should then seek to establish whether those organisations are taking the required steps to protect against the new offence.

Organisations themselves should be considering the following points

- Conduct risk assessments to identify potential fraud risks within your organisations.
- Review and develop policies and procedures to manage the risks presented by the new offence.
- Consider targeted training for employees and associated persons.
- Develop a record of decisions and actions taken to demonstrate compliance.
- Continue to monitor and review effectiveness of fraud prevention measures.
- Engage advisers early, including legal counsel, to build a defensible position should issues arise.

Why this matters for private clients

While the offence of failure to prevent fraud is aimed at organisations, private clients with complex business structures or interests and who are or could be connected to large organisations are now exposed to legal, financial and reputational risk if the companies they are connected to do not have adequate fraud prevention procedures in place.

Although it remains to be seen how the UK authorities will prosecute this offence, adopting a robust and defensible fraud prevention framework with reference to the principles advised by UK Government guidance represents good practice and should also be considered by smaller organisations.

This legislation also signals a broader push by the UK Government towards accountability, transparency, and due diligence - values that are increasingly expected from wealth holders in this jurisdiction as well as corporations. Taking proactive steps now to mitigate against the risks is a necessary part of responsible wealth and business management.

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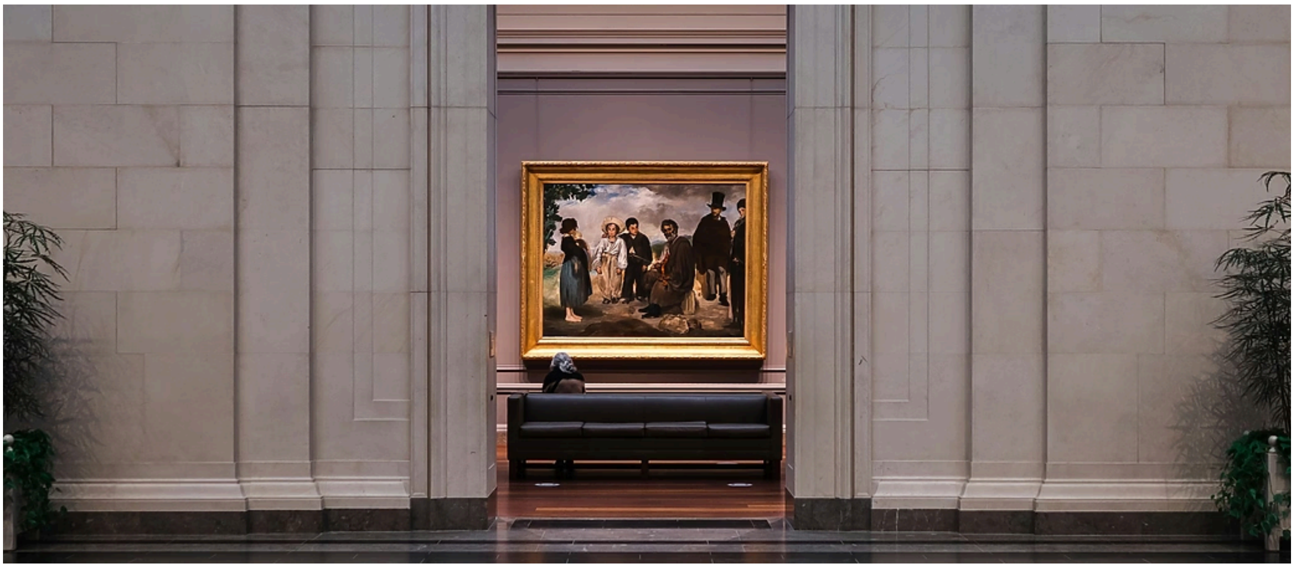
Future-proofing your collections ahead of the inter-generational wealth transfer

Posted on *23 September 2025*



With over $18 trillion in global wealth reportedly being handed down by 2030[1], the anticipated inter-generational wealth transfer will reshape the economic landscape. In the world of art and cultural objects, this transfer means it is now more crucial than ever for collectors to ensure their assets are not only protected, but also responsibly and thoughtfully passed on. The process of transferring ownership is no longer just about safeguarding physical objects, it also involves navigating a complex and evolving landscape of legal, ethical and moral considerations.

So, what are the key considerations that collectors of art and cultural objects need to consider ahead of passing assets on to the next generation?

Collection management and due diligence

One of the key issues in relation to ownership has always been establishing the history of the object. This has become increasingly complex, as both ethical and reputational considerations for collections have become more public and more international in recent years. This is particularly the case around establishing the ultimate source and country of origin of an object.

The concept of "caveat emptor" (or "buyer beware") has historically been the basis for the acquisition of art and cultural objects. In other words, it is up to the person intending to acquire the object to ask the appropriate questions and piece together the journey to its current owner, in order to establish if there could be any issues arising from acquiring ownership.

However, this approach when the transfer is made to a younger family member (or, indeed, a trust set up for future generations' benefit) is not ideal. Under these circumstances, the collector should consider what steps they can take before passing on the object in order to make future ownership stress-free.

Therefore, to future-proof collections, collectors should use the growing number of resources at their disposal to access information regarding the origin of their objects, and make the relevant enquiries to obtain as much knowledge as possible. If this information has not been recorded by the current generation, it can become more difficult for future generations to fill in the gaps and trace the history of an object when first-hand knowledge about the original acquisition may be lost.

In addition, best practice in collection management includes taking steps, such as creating an inventory with descriptions, photographs and purchase information. Ideally, these details would also include copies of invoices or other documentation which accompanied the original purchase. Furthermore, a collector should consider providing clear instructions regarding division of ownership of the collection, especially if there are multiple heirs, so as to avoid confusion or arguments in the future.

Some examples of proactive steps a collector can take to unearth an object's biographical details include: reviewing historic collections or catalogues; verifying authenticity documents; checking registers (such as the Art Loss Register); examining import and export documentation; identifying potential issues around ivory or CITES; and consulting independent experts to assist with research. This should inform and help to build a working database of documents and knowledge about each piece, and prompt any further investigations necessary.

However, the requisite documents and evidence for due diligence are not necessarily standardised. Collectors should be alive to the fact that there can be notable differences across the facets of the art market and under different jurisdictions.

For example, for any collectors considering the transfer of pieces to a family member in the EU, as of 28 June 2025 cultural goods created and discovered outside the EU and subsequently imported into the EU require documentary evidence to show that they were lawfully exported from their country of origin. Historic licences or shipping documents evidencing such export may no longer exist and could therefore cause difficulty for the intended transfer.

Shifting expectations over provenance

Provenance - the history of the ownership of an object - is an increasingly important aspect of due diligence. As evidenced by the number of claims arising in the last few decades from art looted during the Holocaust, the consequences of dubious provenance can be very public and damaging to the collector's reputation.

Now added to this is the growing discourse surrounding the ethics of antiquities and international cultural heritage. There are increasing calls for repatriation of cultural artefacts taken during the colonial history of a country, such as the Benin Artefacts. Collectors should also be mindful of a country's ability potentially to retain or seek to recover cultural goods that they deem to be of historical significance. This process can be quite complex and nuanced, as claims to origin can be multi-faceted.

In addition to legal considerations of possible claims by previous owners, ethical considerations demonstrate the shifting expectations by which future owners may feel morally obliged to return "tainted" objects to their country of origin. For the increasingly philanthropic next generation looking to loan cultural artefacts to a museum or gallery, the impact of a claim for restitution or repatriation can have serious repercussions on both the object and the owner, so it is wise to check everything is copacetic beforehand.

Other considerations

Charitable status

If a collector is a charity, trustees must carry out enhanced due diligence to ensure the provenance of items, and manage assets in line with their legal duties under charity law. This includes checking that items have not been acquired unlawfully or unethically, as failure to do so can lead to legal or reputational risks. When repatriating artefacts using the ex gratia regime - a transfer made out of moral obligation rather than legal obligation or power - charities generally need Charity Commission consent under section 106 of the Charities Act 2011. Updates to this regime under the Charities Act 2022, that will make it easier to carry out less valuable transfers without Commission consent, are currently on hold while the government decides whether certain national museums and galleries should be excluded from these updates. The Department for Culture, Media and Sport (DCMS) liaises with organisations that may fall within this exclusion, offering guidance to ensure compliance.

Tax

Further, while individuals in the UK are liable to pay inheritance tax on their chargeable estate, gifts to registered charities or exempt institutions on death pass inheritance tax free, and a reduced rate of inheritance tax is payable on estates that leave a certain percentage of the net estate to a charity registered in the UK. Collectors can also benefit from specific tax reliefs for gifts of art or cultural objects to tax exempt UK public institutions, such as the acceptance in lieu scheme, the cultural gifts scheme or private treaty sales. These should be taken into consideration when planning the distribution of one's collection.

A pleasure not a chore

Collecting should, first and foremost, be a pleasure. Inheriting and growing a Wunderkammer of treasures that ties together an ancestral lineage is a special way of connecting the past and present. If done carefully and diligently, family heirlooms can pass seamlessly from one generation to the next, telling stories old and new, for centuries to come.

[1] *The great wealth transfer (subscription required)* [https://www.ft.com/content/0512915b-92f5-4edb-bfa7-c5e61756260a?shareType=nongift]

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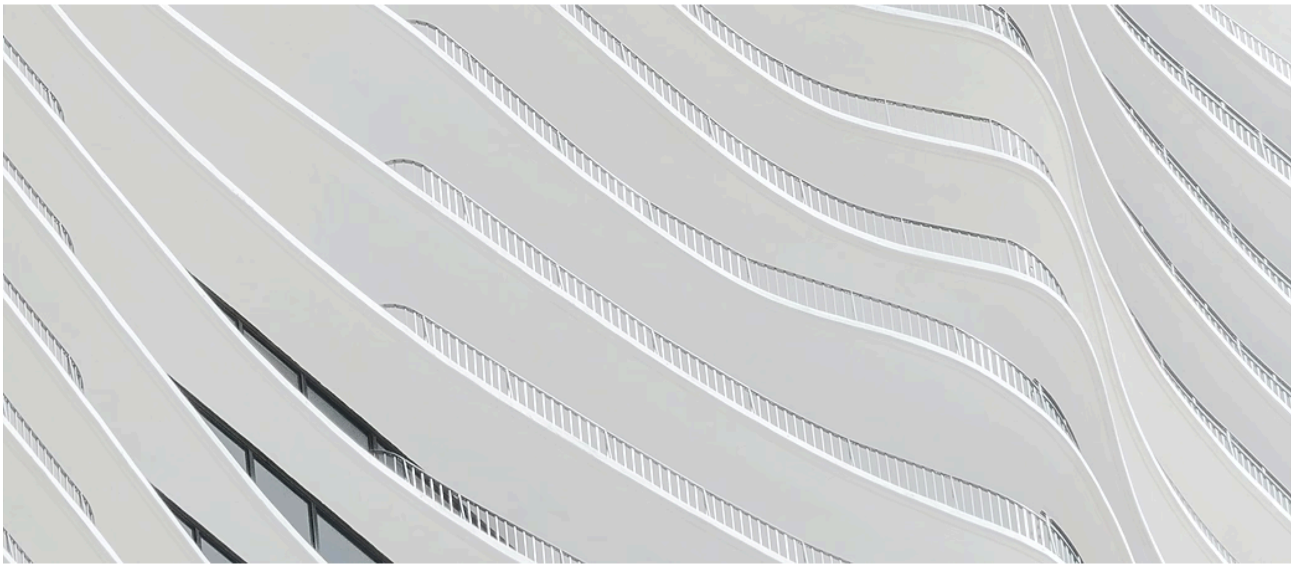
The abolition of the Shareholder Rule: What next for family businesses?

Posted on *23 September 2025*



In family businesses, it is common for family members to wear several different "hats" – such as both shareholder and director, shareholder and employee, or shareholder *and* ultimate beneficial owner. That shareholder may be privy to company privileged information in their capacity as a director, or because the family business' natural governance or custom is that information is shared between family members.

The close-knit nature of family businesses may mean that more transparency is expected or required to avoid conflict, and there is likely an accompanying expectation from family members that information, including the company's legal advice, will not be withheld. In a sense, until the recent Privy Council decision in *Jardine* [https://jcpc.uk/uploads/jcpc_2024_0077_judgment_701b311f53.pdf] , the "Shareholder Rule" complemented that reality.

What's next for family businesses now *Jardine* has abolished the Shareholder Rule?

Privilege and the Shareholder Rule

Legal professional privilege is recognised as a fundamental human right by the courts, and is a necessary corollary of a person's right to obtain skilled advice about the law.

Communications between a client and lawyer, for the dominant purpose of giving or receiving legal advice, are protected from disclosure.

For the past 135 years, the courts of England and Wales have applied the Shareholder Rule as an exception to legal professional privilege. The rule was engaged wherever there was a company-shareholder relationship: when the company and shareholder were in litigation against one another, the company could not assert privilege over documents against its shareholders unless those documents were created for the purpose of the litigation. The exception was limited strictly to the context of litigation between the company and the shareholder. A traditional justification for the exception was that the shareholder had a proprietary interest in the advice, i.e. they had (albeit indirectly) paid for the advice. The Privy Council rejected the proprietary justification for the rule as inconsistent with the English law position that a registered company is a separate legal personality, distinct from its members.

The Rule was said to apply to all companies, no matter their size or the number of shareholders – the Privy Council accepted this in Jardine and confirmed that it either applied to all companies, or it applied to none.

The new legal landscape

In *Jardine* (which we discussed in detail), the Privy Council confirmed that the Shareholder Rule should no longer be recognised as forming part of English law. Shareholders are now no longer entitled to disclosure of a company's privileged legal documents during litigation.

The decision aligns with the English Commercial Court's decision in *Aabar Holdings SARL v Glencore PLC & Ors*, although the wider question raised in relation to joint interest privilege remains unanswered. An appeal in Aabar is expected to be heard by 26 January 2026.

This change is particularly significant for family businesses, where shareholders often also have different responsibilities and roles because of the different "hats" they wear, raising important questions about transparency, expectations and managing disputes and, given that the separate legal personality of a corporate structure is, at least in terms of the practical day to day reality of operating the business, is often seen as more opaque. This seismic change will have a significant impact on companies, shareholders and their advisors.

Next steps for family businesses

With the abolition of the Shareholder Rule, the legal framework is no longer compatible with an expectation of transparency in the same way: while there may still be a history or custom of sharing information, there is no longer a legal obligation enforcing it. There are several factors for a family business to consider regarding the new legal landscape.

When setting up companies in a family business context, consideration might be given to whether the company's constitutional documents (its articles of association and any formal shareholders' agreement) should seek to address this issue from inception so that it, and its stakeholders, are clear as to their respective powers.

Existing family businesses should seek advice as to whether their continued sharing of information with their stakeholders will constitute a waiver of privilege, and how they might address this to future proof the business in the event of potential disputes. Privilege is waived when the party who the privilege belongs to, in this example the company, acts in a way that is inconsistent with its confidentiality. Due regard should be given by advisers as to whether the ad hoc sharing of information would amount to a much broader waiver of privilege over all legal advice and whether protocols might be implemented so that advice might be shared in a manner that protects its confidentiality. At a practical level, expectations should be managed going forward if information is no longer to be shared.

Moving forward

As is clear, there are several important points to consider with this significant development in the law, and careful legal advice should be obtained. Family businesses should also look out for updates following the Aabar appeal due to be heard in the next few months.

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When politics and prosecution collide: Protection for prominent individuals

Posted on *23 September 2025*

For high-profile or high-net-worth individuals in certain jurisdictions, domestic disputes can quickly transform into politically motivated criminal allegations, resulting in reputational damage, and the risk of losing personal freedom. In recent months, one particular asylum case in the UK has shown how the asylum system can provide a vital shield, including for those with significant means and global connections.

In 2024, it was revealed that Lee Hsien Yang, the younger brother of Singapore's former Prime Minister, had been granted asylum in the UK alongside his wife, on the basis of political persecution. Lee sought political asylum in 2022, calling it a "last resort" and citing ongoing persecution by the Singaporean Government.

The backdrop was a long-running family and political dispute between Lee and his brother, following the death of their father, Lee Kuan Yew, in 2015. Lee, his wife and one of their sons have been subject to investigations and legal action brought by the Government after Lee publicly criticised the Singaporean Government, endorsed its opposition and alleged it facilitated money laundering. The string of criminal investigations was part of what Lee has described as a pattern of persecution [https://www.bbc.co.uk/news/articles/c8djdyjeymeo] . This reflects what we often see in similar cases, where there are hallmarks of persecution that can include using a number of investigative agencies and many different cases, as well as fast-tracked processes with little or no regard for due process.

Singapore is widely seen as a stable jurisdiction with a robust legal system. Yet the UK recognised that political dynamics placed Lee at real risk and accepted that he had a "well-founded fear of persecution" and could not safely return to Singapore. This case illustrates that it is not always the most obvious jurisdictions where people need protection; it can depend heavily on the unique circumstances of the individual. Asylum for high-net-worth and high-profile cases often involves a different strategic and tailored approach in which we are well versed and have extensive expertise.

We do not share details of our own high-profile cases, as confidentiality is paramount, and none of our clients' matters are public.

However, we can highlight lessons that are highly relevant to others now facing early warning signs of politically motivated prosecution:

- **Asylum is not just for the powerless –** Even those with significant resources, influence or multiple passports may need to rely on international protection.
- **Timing matters –** Options such as residency rights, second citizenships or relocation need to be considered as early as possible, otherwise these may prove a hindrance rather than a help.
- **Asset protection –** Some assets may be at risk of being frozen or seized, and attempting to move assets in such circumstances can give rise to the risk of criminal liability. Seeking advice as quickly as possible is therefore essential.
- **Extradition and reputation risks –** Once charges are filed overseas, the risk of an extradition request and adverse press coverage becomes immediate. Co-ordinating legal, investigative, and potential PR responses is essential. There is also pre-emptive work that can be done if a request is anticipated, for example, to seek to increase the prospects of being granted bail.
- **Life after protection –** If asylum is granted and/or extradition successfully resisted, the focus shifts to rebuilding legally, reputationally, professionally, and personally. A key aspect of this rebuilding process is around securing the freedom to travel and considering safe passage assurances, which is essential for accessing opportunities, restoring personal autonomy, and reconnecting with friends, family and professional networks.

How Mishcon de Reya can help

At Mishcon de Reya, we work with clients, their family offices, advisers, and professional networks to:

- Develop plan B strategies where there are early signs of political or criminal risk. There are many ways we can assist individuals wanting to protect their assets and conduct wealth planning in the UK, even before a risk is identified.
- Advise on immigration routes, including protection options such as asylum for those in the UK where a risk has been identified or, where the risk is still hypothetical,

other viable immigration routes depending on the circumstances of the individual.
- Defend clients in extradition proceedings and manage the intersection with their immigration status and other legal issues such as tax, family, or reputation management.

If you or your client is concerned about the risk of politically motivated prosecution overseas, the key is to act early. Even the most prominent figures can require asylum protection, and even apparently stable jurisdictions can still present risk in certain situations if the political will is strong enough to target someone. We have seen many cases of this affecting a wide range of individuals, from royal family members and former government officials to businesspeople whose wealth has made them of interest to the state.

Our Protecting People Internationally team can advise on the options now, before events escalate, or if they already have, we are here to help protect you or your client. Please reach out to Lucy Humphreys or Maria Patsalos if you require further information.

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